Weekly Ship Recycling Report

03 June 2023 - 09 June 2023

bestoasis

Recycling with the Best

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the Week

The Organization for Economic Cooperation and Development (OECD) predicts that India's economic growth will surpass that of China in the current and next years. The OECD's recent global economic outlook report forecasts that India, China, and Indonesia will surpass gross domestic product projections for the years 2023 and 2024. The organization anticipates a 2.7% global growth for the current year. The report stated that, excluding the year of the Covid pandemic in 2020, the projected annual rate would be the second-lowest since the global financial crisis.

Chinese steel rebar prices reached a three-year low this week. The anticipated revival for the current year seems to be delayed. Global steel prices have declined as a result of reduced demand from China, thereby impacting countries such as India. Meanwhile in 2022, steel production decreased by 4.2% compared to the post-pandemic rebound of 1,960 million tonnes in 2021, which was the largest drop since 2009 and 1991.

Oil prices increased and remained stable throughout the week due to apprehension regarding the growth of oil demand, which was offset by reductions in Saudi output. Anticipated increase in demand during the summer holiday season in the United States, due to higher driving activity, is being counterbalanced by concerns regarding China's sluggish fuel demand. Analysts anticipate a potential increase in oil prices in the event that the US Federal Reserve decides to forego an interest rate hike during its upcoming meeting on June 13-14.

Exchange Rates:

USD / INR ₹

This Week	: 82.44
Previous Week	: 82.34
Lost	: 0.10

USD / BDT ৳

This Week	: 107.95
Previous Week	: 107.09
Lost	: 0.86

USD / PKR ₨

This Week	: 283.98
Previous Week	: 285.42
Gained	: 1.44

USD / TL ₺

This Week	: 23.50
Previous Week	: 20.88
Lost	: 2.62

India

Local market; A momentary surge in sight.

- Towards the conclusion of the week, the local market in India experienced a brief surge, though having initially declined. As the week progressed, the market demonstrated a somewhat favorable trend, although one that appears to be of a short-term kind.
- Two containers were sold in the Indian local market this week in the low price range of 520 to 530 USD.
- With the nearing start of the monsoon season, it is anticipated that the market will exhibit a tendency towards sustained softness.
- Given the restricted tonnage, the market currently lacks strength. However, in the event of an influx of vessels, a substantial correction in the prevailing circumstances could follow.
- The steel ministry is expected to address tariff protection on specific steel goods with the Finance Ministry in order to defend the local industry against Chinese dumping. Several steel firms have recommended raising import duties on specific steel products.

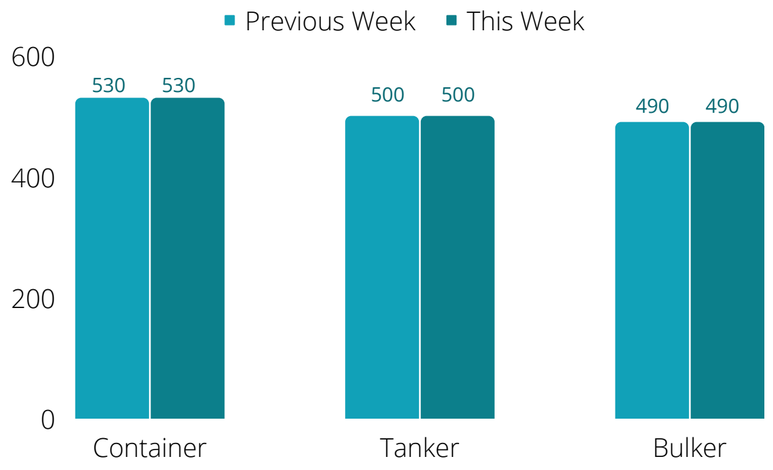
Beaching Dates

09 June to 10 June 2023

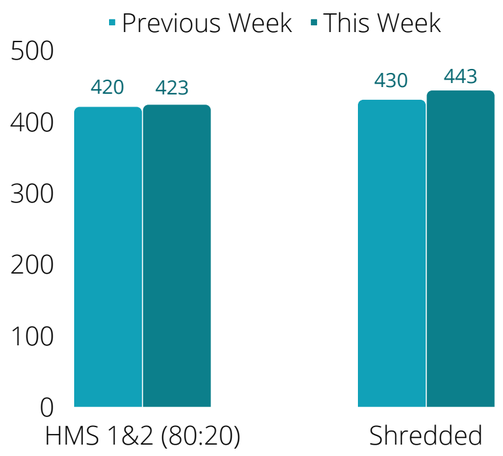
14 June to 21 June 2023

01 July to 09 July 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The market's pace is slow, Lc troubles grow, Inflation lurks around the horizon.

- There exists a degree of ambiguity regarding the opening of LCs for the purpose of recycling the vessel. The persistent challenge of opening Lc has been a significant issue of concern within this geographical area for a prolonged time.

- The current state of the local market is characterized by a softness that is reflected in the low levels of demand being observed. The buyers are meticulously scrutinizing both the domestic and global scrap markets.

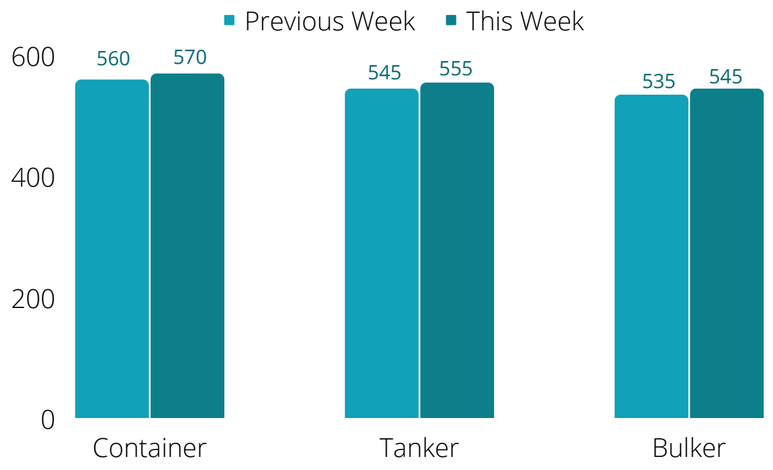
- The current market value of steel in the local market has remained fairly constant over the past two to three weeks, with only minor fluctuations of approximately 100 to 200 Taka observed.

- In May, Bangladesh's inflation reached a record-high level of 9.94 percent, providing further evidence of the country's worsening economic situation. According to the Bangladesh Bureau of Statistics, the monthly inflation rate in May was greater than 9.52 percent for the first time since August 2022.

Beaching Dates

17 June to 20 June 2023
03 July to 06 July 2023
18 July to 21 July 2023

Price for Recycling Ships in Bangladesh



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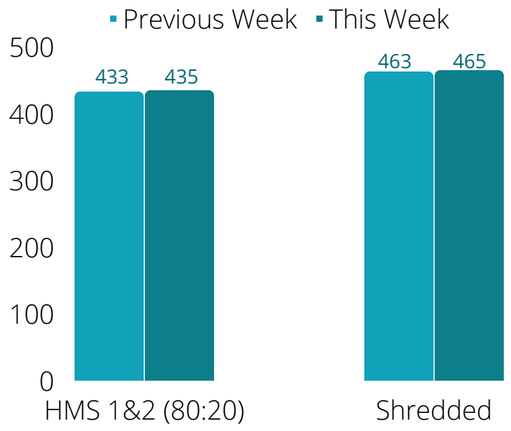


Pakistan

A new budget for Pakistan, Will it bring change, Or remain in range?

- The market for ship recycling has exhibited a prolonged period of inactivity and its future trajectory remains uncertain, contingent upon the IMF's bailout and its potential impact on both the industry and the broader economy.

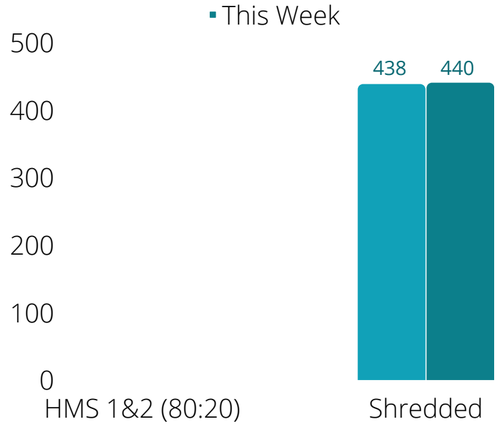
- The Pakistan government aims to balance economic growth with IMF-imposed conditions to revive a bailout program by presenting a carefully prepared budget for the upcoming fiscal year.The Pakistani government aims to reduce the fiscal deficit to 6.54% of GDP in the 2023-24 fiscal year, which is slightly lower than the revised estimate of 7% for the current year. The GDP growth rate target is set at 3.5%. The proposed expenditure plan allocates 14.46 trillion rupees ($50.45 billion) in total, including 1.8 trillion rupees for defence. Additionally, the country is scheduled to hold a general election by November.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan

Price of HMS 1&2 (80:20) and Shredded



*HMS 1& 2 no booking as no LC facilities

Türkiye

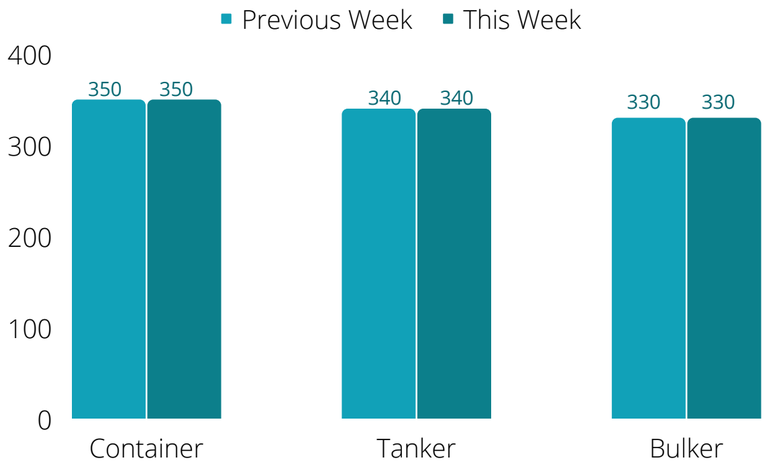
No change in the market, Lira's value decreased more, A worrisome sight.

- The current condition of the local market in this region remains relatively unchanged, with no notable shifts to highlight.
- The Turkish lira's value in dollars fell by more than 7% to a record low, indicating a possible change in the government's economic policies. The lira's value against the dollar has fallen by 60% in the last two years.
- The Turkish Iron and Steel Producers' Association (TCUD) reports that Turkiye's primary steel production decreased by 20.6% compared to the same month last year, to about 2.7 million tons in April.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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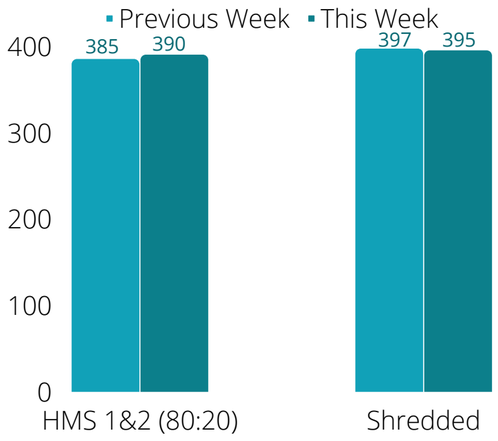
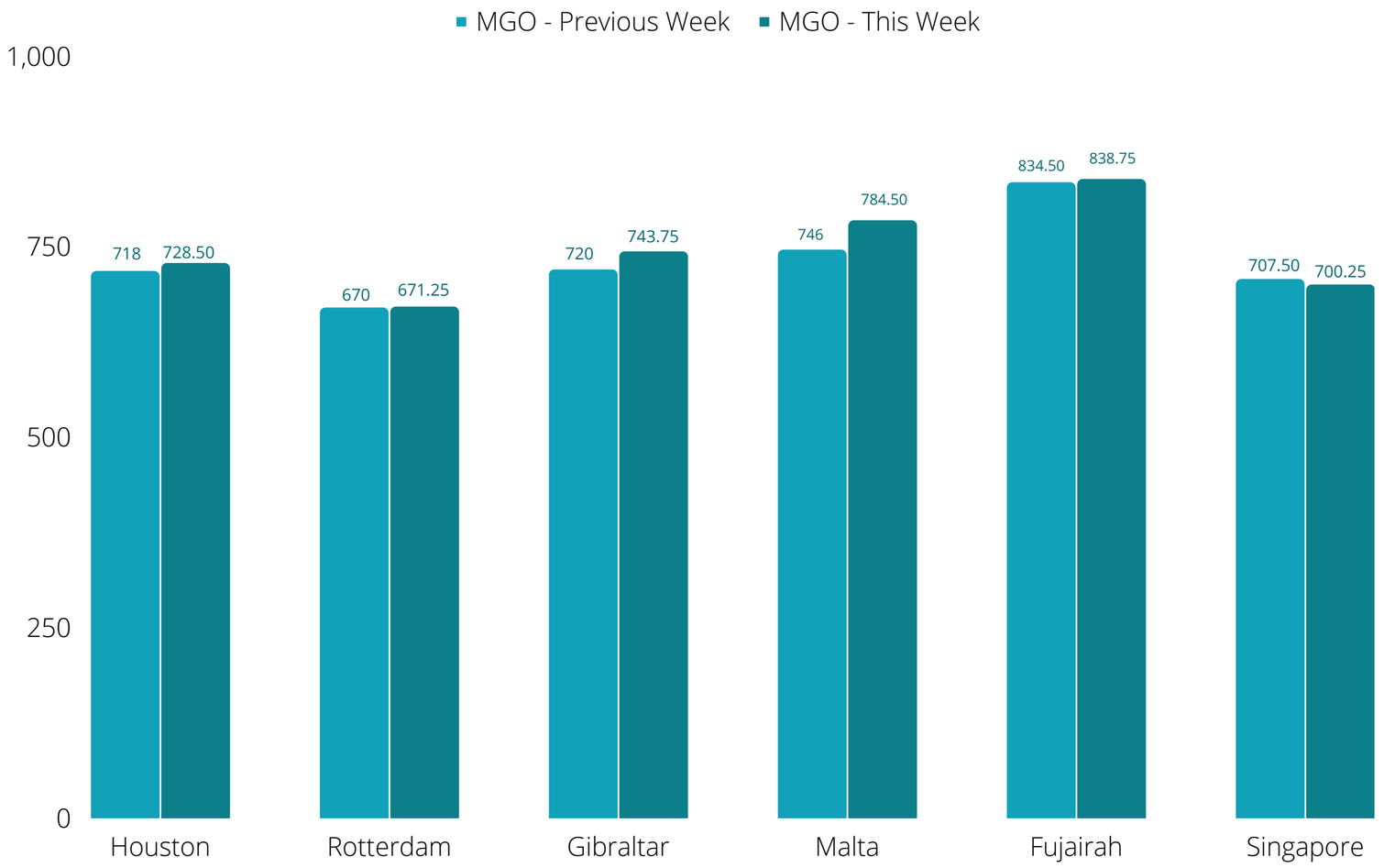


Bunker Prices at Port



Brent Crude

This Week	:	75.75
Previous Week	:	75.86
Movement	:	- 0.11

WTI Crude

This Week	:	71.11
Previous Week	:	71.77
Movement	:	- 0.66

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
DAEBOKGASHO	TANKER	9152349	1996	JAPAN	1,112	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
CHANG MING 2	BULK CARRIER	9156838	1997	JAPAN	9,483	AS - IS	HONG KONG	535 (250 MT BUNKERS ROB)
WELLWIN	BULK CARRIER	9074793	1995	JAPAN	8,932	DELIVERED	CHITTAGONG,BANGLADESH	575
HONG HAO	GENERAL CARGO	9131242	1998	POLAND	11,821	DELIVERED	CHITTAGONG,BANGLADESH	620 (LARGE UNDISCLOSED QTY OF BUNKERS ROB)
JASMINE II	BULKER	9137430	1997	CHINA	9,563	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
MSC NICOLE	CONTAINER	8509387	1989	FRANCE	14,305	DELIVERED	ALANG, INDIA (HKC RECYCLING)	UNDISCLOSED

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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